

loan goes into effect, so you should base this on your lender's suggested date by which everything can be finalized.

The day you take possession of the home is the day you move in. Typically, this is the same as the closing date, unless otherwise specified in your contract. In some cases, the seller will want to reside in the home for a period following closing while *their* next home purchase is being concluded. If you are in a flexible position (perhaps you're renting month to month), you may be able to close on your new home and rent it back to the seller for a short period of time. This will make your offer even more attractive to them, which will potentially save you money. Another win for those with flexible purchase horizons!

Purchase Price

You would think that this, the most important section, would be at the top of the contract, but it can be buried somewhere in the middle, depending on your state's contract. The final sales price of the house can be vastly different from the listing price. This number needs to be high enough to appease the seller and compete with other potential buyers, but low enough to be a good deal. The longer the house has been on the market, the less competitive you need to be. Gauging this perfect price point can be difficult, but you should be able to rely on your agent to guide you toward the right choice.

The purchase price should be based on similar homes that have sold nearby in the last three to six months—otherwise known as comparables, or “comps.” You and your agent should look at these comps (including pictures of the interiors to make sure the other houses are as updated as the one you are considering purchasing) and use them to determine the pricing of your target property.

This section in your contract will also detail your down payment and earnest money amount. Remember, anything less than a 20 percent down payment will usually come with PMI.

Seller Concessions

We're not talking about concession stands, though it would be nice if the seller gave you funnel cake and popcorn after you signed all your closing